



SIMPLE
INNOVATIVE BENEFIT PLANS

SELF-FUNDED DENTAL · RENEWAL PROPOSAL

Acme Manufacturing Corp

Standard Plan · Group S-001

Renewal effective January 1, 2027

Current plan year January 1 - December 31, 2026

Prepared 7/28/2026

Prepared for Acme Manufacturing Corp

Thank you for being a Simple client. The summary below explains how the **Standard** plan performed this year and what we recommend for the renewal — and, just as important, why. Everything ties back to one principle: your rate is projected claims plus a flat administrative fee, with **100% of unused funds owned by the plan**.

Your Plan

STANDARD · DENTAL

Annual Maximum	\$1,000 per person
Deductible	\$50 individual / \$150 family
Preventive	100% — no deductible
Basic Restorative	80% after deductible
Major Restorative	50% after deductible
Orthodontia	50%, \$1,500 lifetime max — dependents only
Freedom of Choice	Any licensed dental provider

ENROLLMENT (AVG)

Employee Only	42
Employee + Spouse	8
Employee + Child(ren)	11
Employee + Family	7
Total contracts	68

Financial Summary — How the Year Went

THIS YEAR TO DATE (12 MO)

Claims funding collected	\$32,355
Claims paid	\$28,150
Claims loss ratio (as paid)	87%
Plan-owned surplus (yr)	\$4,205

OWNED FUNDS & TREND

Prior-year result	\$3,480
Owned surplus (this plan)	\$7,685
≈ months of claims held	3.3
Dental trend applied	4%

Read on adequacy. The plan ran at an 87 % loss ratio this year, slightly above the long-run dental average. We project dental trend at 4 % and add a 6 % adequacy load to keep the plan adequately funded going into the renewal year.

Benefits. The plan design carries the same annual maximum and cost-share structure as the current year. We never propose reducing benefits; where a plan runs short we ask for additional funding, and where a maximum has sat unchanged too long we suggest raising it so the plan keeps paying its share of rising claims.

What We Recommend

Our recommendation is **Recommended** — a net **+6%** change to the claims rate, bringing the employee-only rate to **\$37.11** per month and holding roughly \$7,685 (~3.3 months of claims) in reserve. Every tier is built the same way — projected claims plus the \$6.90 administrative fee, which rises \$0.40 this year to offset inflation. Full tier rates and all three options are on the next page.

Projected Renewal Costs — Three Options

All three options start from the same true cost of the plan (projected claims + a \$6.90 administrative fee). They differ only in **how much of your owned surplus we apply** to buy down the rate increase — which changes both your monthly cost and how much reserve you keep against a heavy claims year.

USE MORE RESERVE

Value (–10%)

Draws down 10% of the rate increase using owned surplus. Lowest monthly cost this year; reserve ends lighter.

RECOMMENDED

Recommended

Fully funds projected dental claims, holds two months of claims in reserve, and is priced to be adequate for a normal claims year.

BUILD RESERVE

Protective (+10%)

Builds an additional 10% cushion on top of the adequacy load. Best if the group anticipates heavier utilisation or wants to enter next year with a stronger reserve.

Monthly rate by tier	Current in force	Value net -10%	Recommended net +6%	Protective net +16%
Employee Only	\$35.00	\$32.55	\$37.11	\$39.96
Employee + Spouse	\$60.75	\$55.73	\$64.41	\$69.83
Employee + Child(ren)	\$56.25	\$51.67	\$59.63	\$64.61
Employee + Family	\$80.50	\$73.50	\$85.34	\$92.74
Projected year-end reserve	—	\$2,508 ~1.1 mo	\$7,685 ~3.3 mo	\$10,920 ~4.7 mo

Reserve = the plan's owned dental account (\$7,685) adjusted for the projected claims shortfall or overage each option leaves. Projected incurred claims for the renewal year ≈ \$34,296.

Which to choose. For most groups Recommended is the right call: it fully funds projected claims while holding roughly two months of claims in reserve. Value is available if cash flow is a priority this year; Protective makes sense if the group had a heavy claims spike and wants to rebuild its cushion quickly.

Basis of Projection

Anchored to this plan's own 12-month claims experience from the Plan Performance Report and the prior plan year, completed for claims incurred but not yet paid, and trended 4% to the renewal year. Because the group is small, indicated results are credibility-tempered rather than taken raw. Enrollment held at current average; the \$6.90 administrative fee includes broker compensation if requested by the broker.

Any dentist, anywhere. Participants may receive care from any licensed dental office in the country — there is no network and no requirement to see an in-network dentist.

About Simple Benefits

Simple Benefits builds self-funded dental and vision programs on a single idea: strip out everything that isn't a claim or a flat administrative fee, and give the plan back everything it doesn't spend. Your plans are administered by **90 Degree Benefits**, a Blue Cross and Blue Shield of Alabama business unit, from its Bossier City, Louisiana office.

\$0

RISK MARGIN

100%UNUSED FUNDS OWNED BY
PLAN**Any**LICENSED PROVIDER, NO
NETWORK**1**DENTAL PLAN, PRICED TO
OWN COST

Disclosures

1. These figures are **projections**. This is a self-funded plan and **is not insurance**; exposure on any one covered person is capped by the annual maximum benefit.
2. Monthly rates are **recommendations only**. Actual claims vary and **additional amounts may be required in any month** to fund claims.
3. **100% of any unused claim funds are owned by the plan.**
4. Rates contain **no margin, no runout reserves, no stop-loss, and no taxes** — only projected claims plus the administrative fee.
5. The administrative fee **includes compensation to the broker if requested by the broker.**
6. Orthodontia is provided for dependent children only and is included on the Standard Plan as shown in this proposal.

Contacts

Your Simple Benefits service team, together with your broker of record, is available for any questions on this renewal and to walk the committee through the options and the owned-surplus decision.

Renewal Acceptance

Client **Acme Manufacturing Corp**
Group **S-001**

Plan(s) **Standard (Dental)**
Renewal effective **January 1, 2027**

1. Select Your Renewal Rates

Check **one** option per plan. Rates shown are monthly, per contract, and include the \$6.90 administrative fee.

Option	EE	EE+S	EE+C	EE+F
☐ Value net -10% claims · reserve \$2,508	\$32.55	\$55.73	\$51.67	\$73.50
☐ Recommended net +6% claims · reserve \$7,685	\$37.11	\$64.41	\$59.63	\$85.34
☐ Protective net +16% claims · reserve \$10,920	\$39.96	\$69.83	\$64.61	\$92.74

2. Benefit Changes

No benefit changes are proposed for the renewal year. The plan design shown in this proposal continues unchanged.

If a signed copy of this acceptance is not received within **10 days of the plan anniversary**, 90 Degree Benefits will continue the **current plan at the current claim funding rates**, but will apply any increase in administrative fees requested as indicated in the **Administrative Services Agreement (ASA)**.

3. Authorization

COMPANY NAME

DATE

AUTHORIZED SIGNATURE

TITLE

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